

**Time:** 4 minutes**Outcome:** Predict behavioral responses and unintended consequences created by incentives.**Difficulty:** ●○○ Beginner

Incentives



THE CORE IDEA

Incentives change the expected benefits or costs of a choice, so they can alter behavior at the margin. Incentives shows how to predict behavioral responses and unintended consequences created by incentives. The fee alters the next trip's marginal cost, which can change the decision. With limited time, the higher wage makes study more costly in forgone earnings. People respond to incentives, but they may respond in ways that improve the metric while hurting the real goal. The toll raises the cost of using the road, which gives drivers an incentive to change behavior.



HOW TO RECOGNIZE IT

- A speed bonus makes workers finish faster, but quality falls.
- A new toll reduces traffic on a busy road.
- A toll is added to a crowded bridge, and some drivers switch routes.
- A school rewards high test pass rates.
- An incentive changes the payoff to a choice; it need not be monetary or guarantee a result.



WATCH OUT

A common mistake is to define incentives as cash payments or guaranteed behavior. An incentive changes the expected payoff to a choice; it may be monetary or nonmonetary, and people can respond differently.



WORKED EXAMPLE: RESPONDING TO INCENTIVES

A city charges a \$4 congestion fee for downtown trips during rush hour. A driver whose next trip provides only \$3 of benefit will now avoid that trip because its marginal cost has risen by \$4. A commuter whose trip is worth \$10 will still travel. The fee changes behavior at the margin without guaranteeing that every driver responds in the same way.



CHECK YOURSELF

A neighborhood app awards a visible badge for weekly recycling. Participation rises among users who value recognition but barely changes for others. What is the best interpretation?

**READY?**

Return to the game and master this concept.